gains together, ICICI's average earnings from its investment portfolio was in the region of 8 percent. ICICI's experience showed that underwriting on the whole was reasonably remunerative provided a close touch was maintained with the stock market and an active policy of sale of shares was pursued on a regular basis. But ICICI's role in the new issues market declined over time. Since its inception in 1964, IDBI had been playing a significant role in this area. IFCI too was taking a substantial interest in new issues. However, ICICI continued to regard this as one of its principal functions.[26]

Underwriting can be said to be an aspect of merchant banking services. In that sense ICICI provided merchant banking service right from its start, but from the early 1970s, it built up a full-fledged merchant banking division, thereby providing advisory services in financial matters to the corporate sector. In India, merchant banking agencies came up only in the 1970s. The first to set up such an agency was the Grindlays Bank, followed closely by ICICI. A new field for merchant banking expertise came up when it was stipulated that FERA companies were required under law to Indianize their capital by bringing down foreign holding to 40 percent by sale of equity to the public. ICICI thus also played a role in the process of Indianization through its merchant banking services.

ICICI handled a very large merchandising operation for the Finlay Group and this case constituted a milestone in the merchant banking activity of ICICI. The trendsetting feature of ICICI's operations in the early days was its readiness to take up equity in a company and underwrite public issues as well as its ability to grant foreign currency loans. ICICI distinguished itself as an innovator and pioneer in these two fields. Finlays, who owned the largest number of tea estates, merged them all and Parekh managed to persuade the Tatas to undertake the joint venture with Finlays in India. This resulted in the formation of Tata Finlay Ltd (later Tata Tea Ltd and now Tata Global Beverages Ltd). This was a way of indigenizing the sterling companies using Tata Finlay as a vehicle for this purpose. It was a large and complicated deal, apart from being the first of its kind, and Parekh felt particularly happy when it was concluded successfully. Another innovation which ICICI developed among financial institutions was to provide suppliers' credit of a medium-term nature. This subsequently grew into good business and accounted for a considerable part of its activities.